# EXECUTIVE SUMMARY

## I. Introduction

The Municipality of Gattaran was founded on May 20, 1963 during the Spanish Expedition to the Philippines, through the leadership of Juan De Salcedo. It was discovered as a tribal community, together with the Municipality of Buguey. And in 1877, by virtue of a Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community by the recommendation of Fray Francisco Suejos, O.P.

The municipality is located at the center of the Province of Cagayan. It is approximately 66 kms from Tuguegarao City and 40 kms from Aparri. The mountain ranges on the east are a portion of the Sierra Madre Mountain and are bounded on the north by the Municipality of Lallo, west by the Municipality of Lasam and in the south by the Municipality of Baggao and Alcala. It has 50 barangays and is classified as a 1st class municipality with a land area of 70,750.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

## II. Scope of Audit

The audit covered the accounts and operations of the Municipality of Gattaran Cagayan for CY 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with and whether government undertakings, systems, operations, programs, activities, or organizations are operating in accordance with the principles of economy, efficiency and effectiveness and whether there is room for improvement. Financial, compliance and performance audits were conducted to achieve these audit objectives.

## III. Operational and Financial Highlights

The highlights of the financial position, results of operations, appropriations, allotments and obligations of the Municipality of Gattaran for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

| Accounts | 2023 | 2022 | Increase (Decrease) |
|---|---|---|---|
| **Financial Position** | | | |
| Total Assets | ₱917,937,671.14 | ₱821,840,442.64 | **₱96,097,228.50** |
| Liabilities | 117,902,853.25 | 132,727,664.12 | **(14,824,810.87)** |
| Total Government Equity | 800,034,817.89 | 689,112,778.52 | **110,922,039.37** |
| **Results of Operations** | | | |
| Total Revenues | 382,786,319.24 | 430,016,667.91 | **(47,230,348.67)** |
| Total Expenses | 313,471,798.50 | 328,072,428.62 | **(14,600,630.12)** |
| Net Income | ₱69,314,520.74 | ₱101,944,239.29 | **₱(32,629,718.55)** |

## IV. Operational Highlights

The Municipality is headed by the Municipal Mayor, Honorable Samuel G. Siddayao, and Vice-Mayor, Honorable Matthew C. Nolasco and includes various officers and employees, as follows:

| Position/Designation | Number of personnel complements |
|---|---|
| Elective Officials | 12 |
| Co-terminus Employees | 1 |
| Permanent Employees | 174 |
| Job order Employees | 152 |

In addition, the Municipality of Gattaran had accomplished 16 or 57.14 percent significant and developmental projects in Calendar Year 2023, with a total cost of ₱54,627,562.85.

## V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Gattaran for the year-ended December 31, 2023 due to various accounts which are materially misstated by an aggregate amount of ₱93,269,167.27 on account of errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Gattaran disclosed misstatements totaling ₱93,269,167.27 in absolute value as follows:

| Account | Asset | Liability | Prior Period Revenue/ Expense | Total |
|---|---|---|---|---|
| Property, Plant and Equipment | ₱45,901,219.57 | ₱0.00 | ₱0.00 | ₱45,901,219.57 |
| Inventories | 23,183,256.53 | 0.00 | 0.00 | 23,183,256.53 |
| Other Receivables | 8,315,073.65 | 0.00 | 0.00 | 8,315,073.65 |

| | | | | |
|---|---|---|---|---|
| Due to LEE | 0.00 | 5,649,364.40 | 0.00 | 5,649,364.40 |
| Trust Liability-DRRMF | 0.00 | 5,095,012.49 | 0.00 | 5,095,012.49 |
| Other Payables | 0.00 | 3,899,689.92 | 0.00 | 3,899,689.92 |
| Advances to Officers and Employees | 72,748.00 | | 0.00 | 72,748.00 |
| Accounts Payable | 0.00 | 367,441.09 | 0.00 | 367,441.09 |
| Bail Bonds Payable | 0.00 | 178,716.17 | 0.00 | 178,716.17 |
| Due from Other Funds | 1,035,564.42 | 0.00 | 0.00 | 1,035,564.42 |
| Due to LGUs | 0.00 | 8,495.80 | 0.00 | 8,495.80 |
| Due to Other Funds | 0.00 | 1,035,564.42 | 0.00 | 1,035,564.42 |
| Notes Receivables | 1,000.00 | 0.00 | 0.00 | 1,000.00 |
| Other Payables | 0.00 | 635,351.75 | 0.00 | 635,351.75 |
| Other Receivables | 291,490.33 | 0.00 | 0.00 | 291,490.33 |
| Due to NGAs | 0.00 | 2,599,944.00 | 0.00 | 2,599,944.00 |
| Cash in Local Treasury | 648,599.13 | 0.00 | 0.00 | 648,599.13 |
| **Total** | **₱79,448,951.63** | **₱19,469,580.04** | **₱0.00** | **₱93,269,167.27** |

## VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2023 other than the bases for the modified opinion that needs immediate attention and action by the Municipality of Gattaran are as follows:

1. Inter-agency payables arising from the funds withheld and obligated for the payment of taxes, premiums, contributions, and loan amortizations to Bureau of Internal Revenue (BIR), Home Mutual Development Fund (HDMF), Government Service Insurance System (GSIS) and Philippine Health Insurance Corporation (PHIC), totaling to ₱2.459 million, remained unreconciled as of December 31, 2023, which may cause misstatements in the affected inter-agency payable accounts in the financial statements, and possibly give rise to forfeiture of claims/ benefits of members and imposition of penalties and interests.

   We recommended the Management to:

   a. identify the nature and cause/s of the unreconciled balance totaling ₱2,458,611.73 and to have a reconciliation with the concerned agencies to establish the actual amounts of unpaid taxes and/or compulsory contributions;

   b. moving forward, to have a regular reconciliation of the balances of Inter-Agency Payable accounts to the actual remittances to settle immediately any identified unremitted amounts and facilitate the preparation of the necessary adjusting entries to present fairly the balances of Due to BIR, Due to GSIS, Due to Pag-ibig and Due to Philhealth accounts in the financial statements; and

   c. to include in the budget for the succeeding year an amount sufficient and intended to settle unpaid taxes/contributions from previous years, when necessary, to fund any corresponding government share of mandatory contributions of employees.

2. The actual charges against the budget for DRRM-MOOE exceeded the total appropriated amount by ₱3.243 million, due to: (a) non-preparation of the required Local Disaster Risk Reduction and Management Fund Investment Plan (LDRRMFIP) and registries to record and monitor the budgeted amounts, charges and available balances of DRRM-Capital Outlay and DRRM-MOOE; and, (b) utilization of the Fund for programs, projects and activities other than those specified in the Annual Investment Program for LDRRM Fund.

   We recommended that Management:

   a. require the MDRRMO and the Municipal Budget Officer to prepare the LDRRMFIP annually, and the required separate registries for MOO and CO, respectively, as prescribed in COA Circular No. 2012-002 dated September 12, 2012, for the effective monitoring and evaluation of the utilization of LDRRM Fund;

   b. justify and provide for the authority and/or legal basis to charge the financial assistance totaling to ₱3,985,000.00 against the 70% Mitigation Fund, which resulted in the overspending of the DRRMO-MOOE by ₱3,243,600.55. Otherwise, require the recipients to refund the amount they had received; and

   c. ensure that the charges from the LDRRMF are directly in line with the PPAs embodied in the duly approved LDRRMP and LDRRMFIP, in compliance with the pertinent laws, rules, and regulations.

3. The LGU granted financial assistance to all employees and Job Order (JO) workers of the LGU totaling to ₱3.150 million and ₱2.785 million, respectively.

   We recommended the Management to provide for the authority and/or legal basis for the grant of financial assistance totaling to ₱5,935,000.00. Otherwise, require the recipients to refund the amount they had received.

4. The monthly employer's contributions to HDMF of the Agency's employees exceeded the maximum allowable amount of employer contributions by a total of ₱1.897 million.

   We recommended the Management to:

   a. submit the copy of the SB Resolution authorizing the increase in the government share and evidence showing that the required consultation with the DBM was complied with, for proper evaluation of the Audit Team; and

   b. cease the practice of increasing the maximum amount of monthly compensation in computing employee the employer's contributions, and ensure that it shall not be more than ₱5,000.00, in compliance with the requirement RA No. 9679.

5. The contracts for the procurement of Heavy Equipment and Motor Vehicle totaling ₱14.538 million were not supported with complete documentary requirements, and the same were not submitted to the Auditor's Office within five (5) days from the date of execution of the contracts.

   We recommended the Management, moving forward, to ensure submission of complete documentation within 5 days from the date of execution of contact, in compliance with the provisions of COA Circular No. 2009-001 dated February 12, 2009 to established the validity and regularity of the contracts and facilitate the review of the contracts.

## VII. Summary of Total Suspensions, Disallowances and Charges

For the year 2023, the summary of total suspensions, disallowances, and charges shows a beginning balance of zero across all categories, with no new suspensions, disallowances, or charges issued. As a result, the ending balance for each category remained zero.

## VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2022 Annual Audit Report are summarized as follows:

| | | |
|---|---|---|
| Implemented | | 13 |
| Not Implemented | 1 | |
| Not Implemented and Reiterated in Part II of CY 2023 AAR | 3 | 4 |
| Total | | 17 |